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# **FACEBOOK DATING APP**

## **INSTADATE**

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# EXECUTION PLAN

- Problem Statement
- Strategy, Why we might be interested in getting into the Dating product
- Customer Segmentation
- Competitive Analysis
- SWOT Analysis
- Solution
- Evaluate on metrics

# PROBLEM STATEMENT

- Facebook is one of the Big Five companies in the U.S. Facebook offers products and services like social networking platform.
- Facebook wants to enter into the Dating service. Identify whether a Facebook dating app service is feasible to enter into the market or not.
- Also to identify the success metrics of the Facebook dating app.

# WHAT IF FACEBOOK ENTERS INTO DATING APP?

- Facebook's mission is to connect the world and bring people closer together and give people a platform to express themselves about the things they care about.
- Usually, Facebook products are something that people have used to connect together. By moving into the Dating service, people can make use of the already developed social platform.
- Facebook can lean upon when comes to the competition by its strength - which other competitor don't have is the social graph, the power of connection between friends and family.

# WHY FACEBOOK SHOULD NOT ENTER INTO DATING APP?

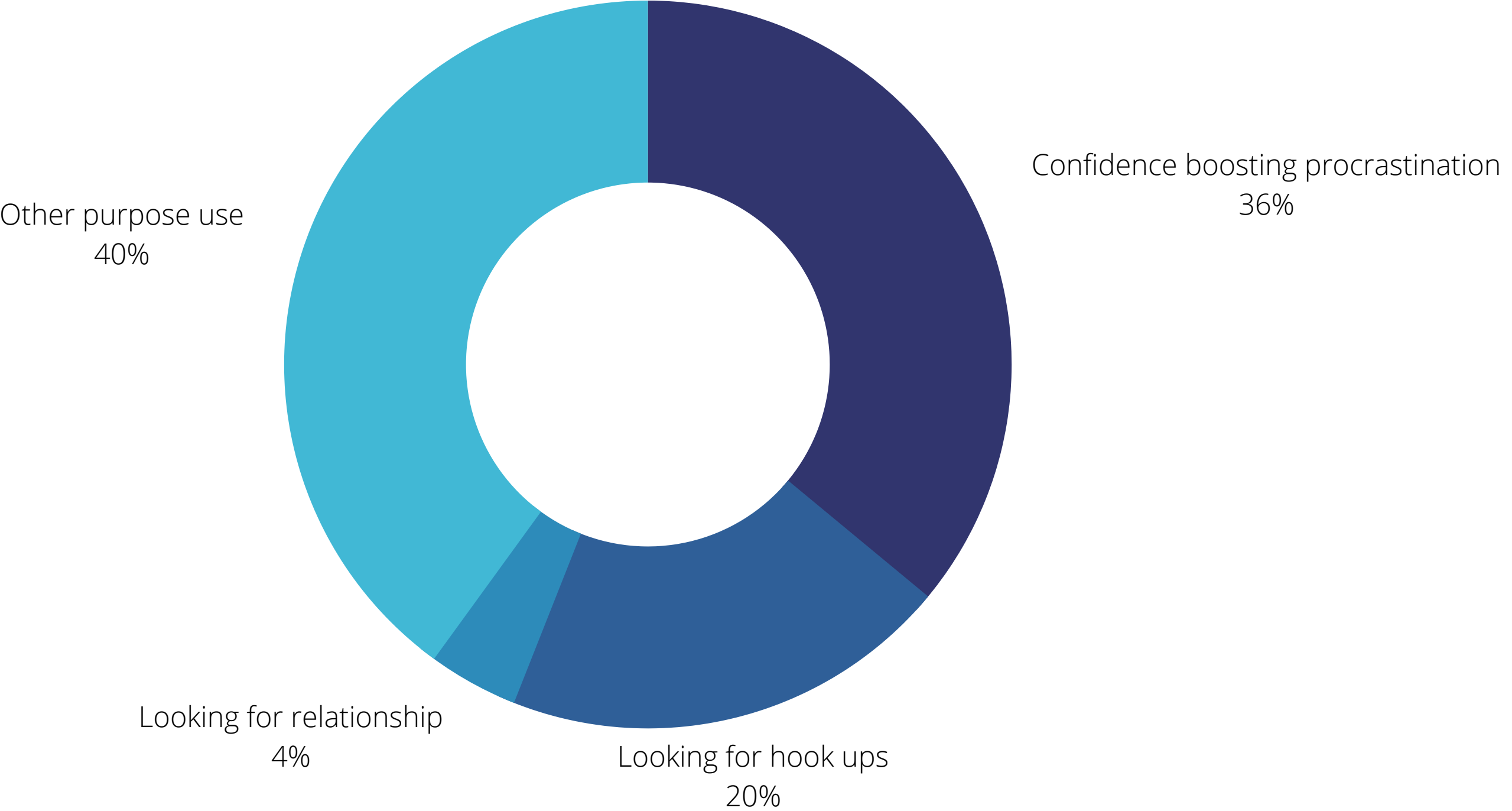
- Facebook has a few disadvantages of entering into the Dating service. One of them is a late entry into the dating space.
- Facebook can partner with another dating service by getting the benefits of Facebook's social platform.
- By doing such diversification by Facebook, the company can get rid of the stiff competition.



# FACEBOOK DATING APP FEASIBILITY

- Dating App is a location-based social discovery app that makes communication possible between mutually interested users. It can be used as a tool for networking.
- For such dating app uses Facebook profiles to gather basic information and then matches candidates who are most likely to be well suited based on location, number of mutual friends, and common interests. Based on the results of potential candidates, the app allows the user to anonymously like another user by swiping right or pass by swiping left. If two users like each other it then results in a “match” and they are able to chat within the app.
- Facebook's suggestion engine is better than any other social media platform, it would be easy for Facebook to get match through events, groups, and interests.
- The Strategy to build a standalone app rather than adding features in the Facebook app is feasible.
- The name of the app will be **InstaDate**.

# USE OF THE INSTADATE



# BACKGROUND OF THE PARENT COMPANY

The Facebook logo, consisting of the word "facebook" in white lowercase letters on a blue rectangular background.

facebook

**2.7 billion MAU**

Facebook's users as of the second quarter of 2020

**1.82 billion DAU**

Facebook's users as of the third quarter of 2020

**3.14 billion MAU**

At least one of the company's core products  
(Facebook, WhatsApp, Instagram, or Messenger)

**107 million Downloads**

App downloads via Google Play in June 2019



# MARKET SIZING - TOP DOWN APPROACH

| Top Down Approach | Total population | Addressable population (age group 15 - 55) is 55% | Total dating app user | % of market share by InstaDate | Total InstaDate users | Total Revenue of Dating App globally | Total InstaDate Revenue(65 % of Total global revenue in year) |
|-------------------|------------------|---------------------------------------------------|-----------------------|--------------------------------|-----------------------|--------------------------------------|---------------------------------------------------------------|
|                   | 7.8 Billion      | 4.2 Billion                                       | 270 Million           | 65%                            | <b>175 Million</b>    | \$3.08 Billion                       | <b>\$2 Billion</b>                                            |

## Assumption

Age group: 0 - 14 = 26 %

Age group: 55+ = 19 %

Online single person using dating app = 41 %

# MARKET SIZING - BOTTOM UP APPROACH

| Bottom Up Approach | % of single population | Average user checks InstaDate app | Matches occur daily | Total InstaDate Downloads | % Buying subscription plan | Average spend per Year / person | Total InstaDate Revenue(in year) |
|--------------------|------------------------|-----------------------------------|---------------------|---------------------------|----------------------------|---------------------------------|----------------------------------|
|                    | 41 %                   | 15 times a day                    | 270 Million         | <b>550 million</b>        | 45 %                       | \$150                           | <b>\$2 Billion</b>               |

## Assumption

Age group: 0 - 14 = 26 %

Age group: 55+ = 19 %

Total Global population = 7.8 Billion

# COMPETITIVE ANALYSIS

## DIRECT

Offering the same features and sometimes the execution is also identical.



## INDIRECT

Product solving the same problem but the execution is different.



## POTENTIAL

Product/Company not solving the same problem but has the strength to add the same offering in future.



## SUBSTITUTE

Replace the need of your product in a different manner.



# COMPETITIVE PRICE ANALYSIS

## Tinder Plus

Basic - \$9.99 / 1 month

Most Popular -\$37.66 / 6 month

Best Value - \$ 49.99 / 12 month

## Tinder Gold

Basic - \$29.99 for 1 month

Most Popular - \$112.99 / 6 month

Best Value - \$149.99 / 12 month

## Tinder Platinum

1 month - \$ 39.99

3 month - \$ 99.99

6 month - \$ 149.99

1 year - \$ 199.99

## Bumble

- A one-week trial costs \$8.99
- The first month costs \$24.99, and prices go down from there.
- You can also buy Bumble Coins for \$1.99. These let you SuperSwipe profiles to let people know you're so interested that you were willing to spend more money to prove it.

# SWOT ANALYSIS

InstaDate

## Strengths

- Strong brand image
- The sheer number of Facebook users already present
- Better suggestion engine
- Large organizational size
- Strong R&D

## Weaknesses

- Data Privacy
- Unverified fake accounts
- Censorship of Facebook by many countries.

## Opportunities

- Diversified Portfolio
- Strong hold on dating service due to penetration of lower income households

## Threats

- Competitors with large and innovative design
- Difficulty in demonstrating the core differentiator in InstaDate and Facebook App
- Increase in Regulations

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# REVENUE MODEL

InstaDate

- In order to onboard the first set of users and to increase the engagement of the app, InstaDate adopts the Freemium revenue model.
- Where basic membership is free to get more users traction, users can pay for extra and enhanced features.
- The price plans are,
  - Silver Plan- \$15.99 for 1 month
  - Gold Plan - \$110.99 / 6 month
  - Platinum Plan - \$149.99 / 12 month

# SUCCESS METRICS

InstaDate

- Total InstaDate download - 550 million
- Acquisition (The average user checks the InstaDate app) - 15 times a day at 7 minutes interval
- Engagement (Swipes per day) - 315 Million
- Retention (Matches per day) - 270 Million
- Revenue (Total user buying subscription plan) - 78 million (45% buys subscription \*175 million total InstaDate users)